

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Current context (latest snapshot)

Supply: 121,603,980 ETH • Base gas: 0.1 Gwei • ETH price: \$2,243

ETH Supply Change Snapshot (Trailing 7 Days)

Current supply

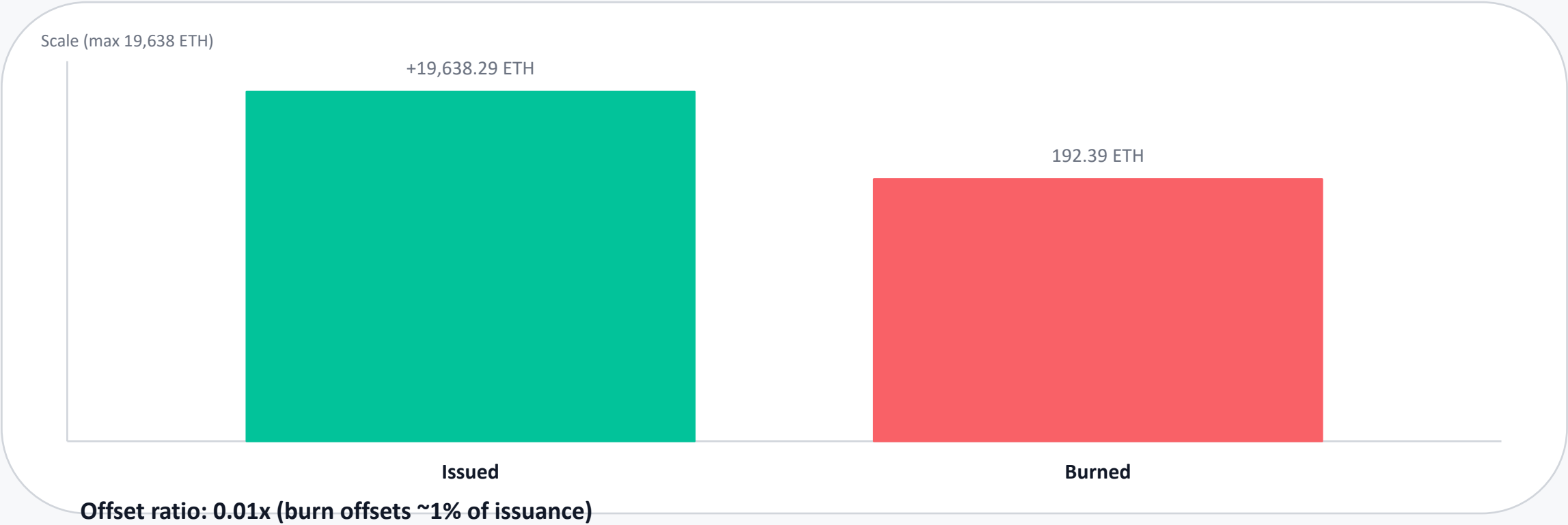
121,603,980 ETH

Net change (7D)

+19,445.89 ETH

Annualized rate

+0.83%/year



Figures: 19,638.29 ETH issued; 192.39 ETH burned; +19,445.89 ETH net (7D)

Gas and Burn Mechanics: Why Burn Is Currently Suppressed

EIP-1559 burn = base fee destroyed each block

When on-chain demand rises, base fees rise → burn rises.

When gas collapses, burn collapses → supply turns inflationary.

Long-term models often assume ~22 Gwei average base gas — far above today.

7D base gas (Gwei): min / avg / max



Blob fees (EIP-4844) context

Avg blob gas: 7,144,934 wei (7D)

Blob burn: 0.15 ETH (~\$319) over 7D

Implication

With base gas at 0.1 Gwei, fee burn is structurally muted. The burn mechanism is intact — activity is the variable.

Where Burn Comes From: Categories and Leaderboard (7D)

Weekly burn by category (ETH)



Top burn leaderboard entries (7D)

- ETH transfers: 21.74 ETH
- Tether (USDT): 13.55 ETH
- DeFi contracts: various

Interpretation

DeFi + ETH transfers account for ~85% of weekly burn, but absolute burn is tiny under 0.1 Gwei gas.

Staking Economics: The Scarcity Engine

ETH staked

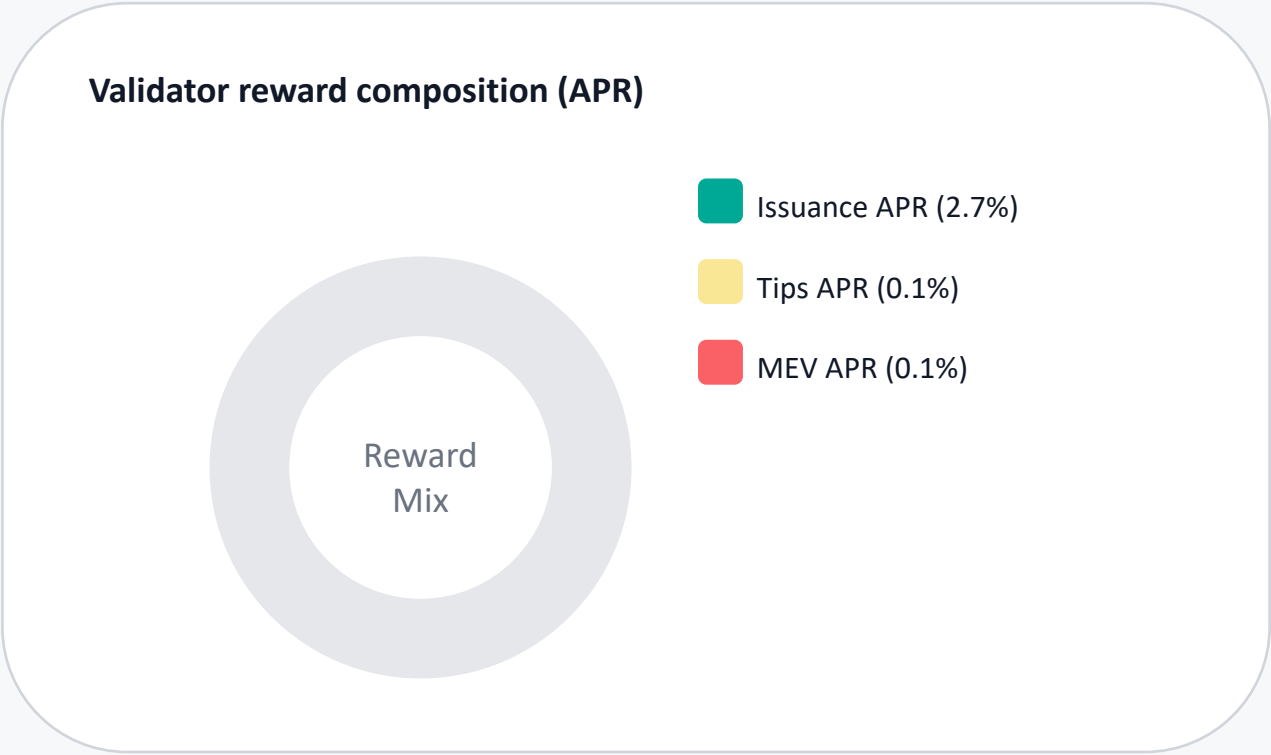
38.9M ETH

Supply share

~32% of supply

Staking lock

9.1M ETH / 10.7y avg



What this means for monetary supply

- Rewards are primarily issuance (2.7% APR).
- Tips + MEV are currently minimal (0.1% + 0.1%).
- Locked stake reduces liquid float and amplifies the burn/issuance balance when activity returns.

Supply Projections: Path Toward Long-Run Equilibrium

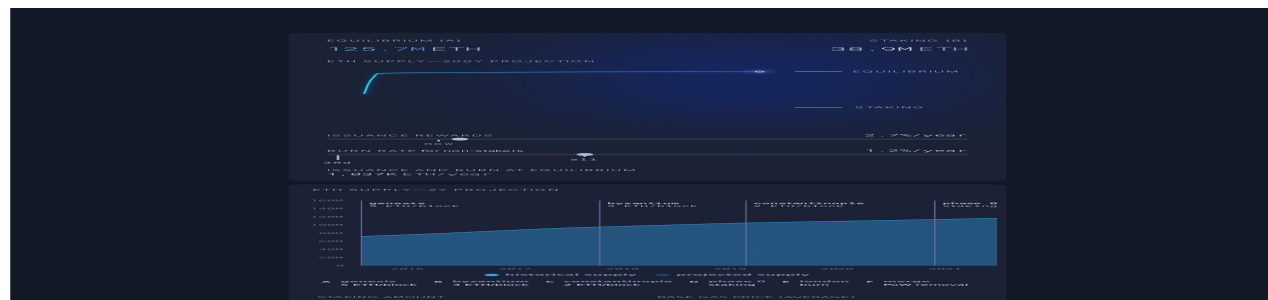
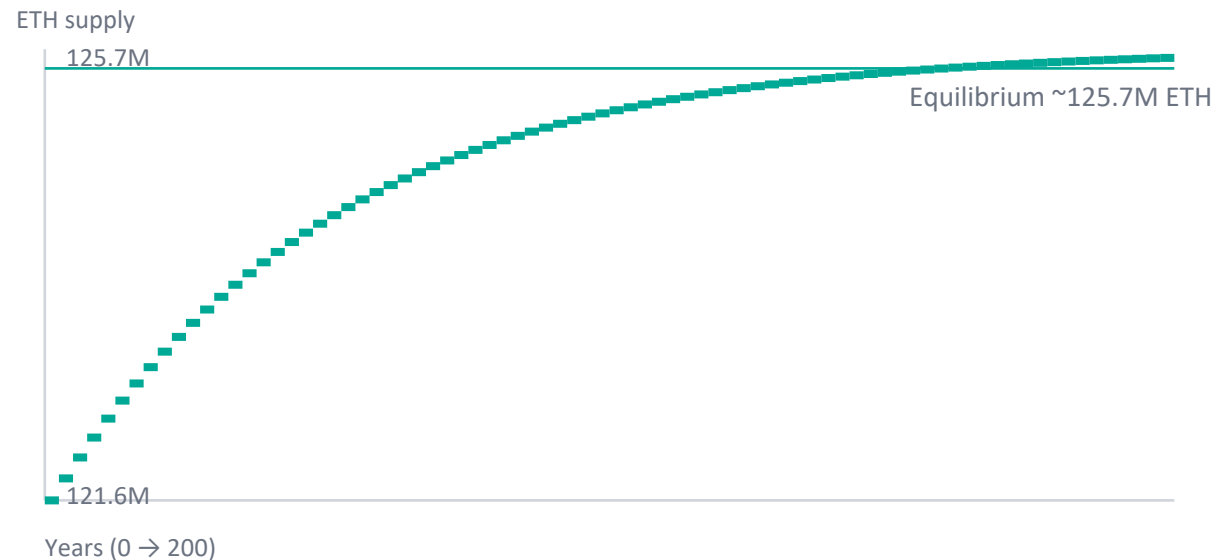
Model parameters (from brief)

- 200-year model converges to 125.7M ETH
- Assumes ~39M ETH staked
- Assumes 22 Gwei avg base gas
- Balance: ~1,037K ETH/year issuance $\approx$ burn
- Daily: ~2.8K ETH/day PoS issuance vs ~2.2K ETH/day burn (normalized)

Historical era transitions (2Y chart)

Genesis $\rightarrow$ Byzantium $\rightarrow$ Constantinople $\rightarrow$ Phase 0 $\rightarrow$ London (burn) $\rightarrow$ Merge (PoW removed)

200-year supply trajectory (converges toward equilibrium)

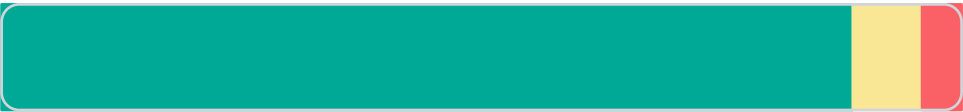


Monetary Premium Signals: Flipping Progress + Total Value Secured

Flipping ratios (ETH market cap as % of)

Bitcoin: 18.70% • **USD: 1.30%** • **Gold: 0.89%**

Total Value Secured (TVS) composition



ETH (native): \$272.76B

ERC20s: \$22.21B

NFTs: \$12.66B

Top secured assets (examples from brief)

ERC20s

- Dai: \$4.41B
- Shiba Inu: \$3.51B
- Cronos: \$2.97B
- Tether Gold: \$2.65B

NFTs

- CryptoPunks: \$2.13B
- Bored Ape YC: \$0.68B
- ENS: \$0.63B
- Pudgy Penguins: \$0.51B

Ultra sound money thesis: structurally intact — activity is the swing factor

- Currently mildly inflationary: +0.83%/year with only 192.39 ETH burned vs 19,638.29 ETH issued (7D).
- Burn mechanism works — but 0.1 Gwei base gas suppresses burn (offset ratio 0.01x).
- Staking lock is real: 38.9M ETH staked (~32% of supply); 9.1M ETH locked for ~10.7 years avg.
- Long-run model converges toward ~125.7M ETH equilibrium under 39M staked and 22 Gwei base gas.
- Monetary premium signals: ETH at 18.70% of BTC market cap; secures ~\$307.6B total value on-chain.

Headwind to watch: sustained on-chain activity → sustained burn.